

COLLECTION · BUYERS

Becoming a Homeowner in Quebec

*The complete first-time buyer's guide — from the
idea to the keys*

READ BEFORE YOU BEGIN

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The complete first-time buyer's guide — from the idea to the keys

You dream of buying your first property, but you feel a little lost: the steps, the costs, the jargon, the fear of making a mistake on "the biggest purchase of your life." This guide exists precisely for you.

By reading it, you will know how much you really need in order to buy (not just the down payment), how to finance your project with the right tools (HBP, FHSA, gift), which steps to follow and in what order, and above all where Québec's specific pitfalls lie and how to avoid them.

How to use it: read it all the way through once for the big picture, then come back chapter by chapter as you reach each stage. After each chapter, a "My notes" section invites you to write down your figures and your questions: it is by personalizing it that this guide becomes YOUR plan. The journey comes down to eight steps: be ready, finance the down payment, get pre-approved, find the property, visit and inspect, make a promise to purchase, sign at the notary, move in.

CHAPTER

Are you ready to buy?

Honestly assess your ability to buy before falling in love with a property.

The three-pillar rule

A solid purchase project rests on three pillars: the down payment (the cash you put toward the purchase), your borrowing capacity (how much an institution will agree to lend you based on your income, your debts and your credit), and your day-to-day ability to pay (absorbing the payments AND the recurring costs without being stretched too thin).

The true cost of homeownership

Many first-time buyers budget only for the mortgage. Add the following items every month:

- Municipal and school taxes (often \$250 to \$500 a month depending on the city and the value).
- Home insurance.
- Condo fees if it is a condo (operating fund + contingency fund).
- Energy (Hydro-Québec, heating).
- Maintenance and repairs: set aside a reserve of about 1% of the property's value per year.

Your debt ratios and your credit

Lenders look at the GDS (housing costs / gross income, ideally 32% to 39%) and the TDS (all your debts included / gross income, capped at around 40% to 44%). Paying down a credit-card debt before buying often increases your borrowing capacity more effectively than saving a few hundred extra dollars. On the credit side, a score of 680 and up opens the door to better rates: pay on time, keep your card usage under 30% of the limit, and avoid opening new credit just before buying.

EMILIE'S TIP

Never shop for a property before you have run your numbers. The worst-case scenario is to visit, fall in love, and then learn that the amount does not add up. Always start with the budget: it is what makes the search enjoyable instead of stressful.

CHAPTER

Financing the down payment (HBP, FHSA, gift)

Gather your down payment using every available tool.

The minimum down payment

In Canada, the minimum down payment depends on the purchase price (2026 edition, to be confirmed as the thresholds change): 5% on the portion up to \$500,000, 10% on the portion between \$500,000 and \$999,999, and 20% for a property of \$1,000,000 and up. Example at \$450,000: 5% = \$22,500. Example at \$700,000: \$25,000 + \$20,000 = \$45,000.

Mortgage loan insurance (CMHC, Sagen, Canada Guaranty)

If your down payment is less than 20%, the law requires mortgage loan insurance. The premium (a percentage of the loan) is added to the amount borrowed. It lets you buy sooner, with less cash: it is a tool, not a punishment.

HBP, FHSA and family gift

- HBP: withdraw from your RRSP (up to \$60,000 per person, to be confirmed) with no immediate tax, repayable over 15 years.
- FHSA: contributions are tax-deductible AND the withdrawal is tax-free for a first purchase; ceiling of about \$8,000/year, up to \$40,000 over a lifetime (to be confirmed).
- Family gift: accepted as a down payment with a gift letter confirming it is not a loan.
- The HBP and FHSA can be combined: often the most powerful combination for a first-time buyer.

EMILIE'S TIP

Meet with a mortgage broker BEFORE withdrawing anything. The order of the withdrawals (RRSP vs. FHSA), the timing and the documentation have a real tax impact. Well orchestrated, you maximize both the down payment AND the tax refund the following spring.

CHAPTER

Mortgage pre-approval

Get a confirmed amount and a guaranteed rate before you shop.

Be careful not to confuse pre-qualification (a quick estimate, with no verification, of little value) and pre-approval (the lender analyzes your documents and confirms an amount as well as a guaranteed rate for a period, often 90 to 120 days). It is the pre-approval that gives weight to your offers.

The documents to prepare

- Proof of income (pay stubs, notices of assessment, T4s; financial statements if self-employed).
- Proof of the down payment (RRSP/FHSA/account statements, gift letter if applicable).
- Identification and details of your current debts.

The stress test

Lenders qualify your file at a rate higher than the actual rate (the "qualifying" rate) to make sure you could handle an increase. The pre-approved amount may therefore be more conservative than hoped: it is a protection. A mortgage broker shops multiple lenders for you, often at no charge; your bank only sells its own products.

EMILIE'S TIP

With a pre-approval in hand, you stop "dreaming" and start "choosing." In a fast market, it can make the difference between getting the house and watching it go.

CHAPTER

Finding the right property

Turn "I'm looking for a house" into clear, prioritized criteria.

Make two columns: must-haves (number of bedrooms, area, budget, commute time) and wishes (kitchen island, garage, yard). You almost never buy 100% of your list; knowing what is negotiable prevents paralysis.

House, condo or plex?

- Single-family house: more space and independence, but all the maintenance is on you.
- Condo (divided co-ownership): less direct maintenance, but fees and communal living; review the declaration of co-ownership, the contingency fund and the minutes.
- Plex (duplex/triplex): one unit for you, the others to generate income, an excellent stepping stone.

The neighbourhood, what you cannot renovate

You can change a kitchen, never a location. Assess transit, schools, services, noise, development projects and potential resale. In Montréal, Laval and on the North Shore, two streets can have very different dynamics: a local eye is worth its weight in gold. Beware of wide-angle photos and cosmetic "renovations"; the data that matters is the municipal assessment, the taxes and the age of the components (roof, windows, furnace).

EMILIE'S TIP

Always visit at least two or three properties before making an offer, even if you like the first one. It calibrates your eye to what your budget really buys in the area, and it makes your decision calmer and more solid.

CHAPTER

The visit and the inspection

See beyond the decor and protect your investment.

During the visit, look at the structure, not the furniture: significant cracks, water or moisture stains in the basement, odours, fogged windows (broken seals), the slope of the land toward the house, the condition of the roof, the electrical panel, the age of the water heater and the furnace. Ask whether the renovations were done with permits.

The pre-purchase inspection: non-negotiable

Make your promise to purchase conditional on an inspection by a recognized professional. A good inspector spots what the untrained eye misses and hands you a detailed report. A few hundred dollars can save you tens of thousands.

Québec specifics to watch for

- Clay soils (Montréal, Laval, North Shore): soil movement, cracks.
- Pyrite or pyrrhotite in certain slabs or foundations depending on the area.
- Aging French drain, buried oil tank, vermiculite (asbestos) in older attics.

If the inspection reveals a problem, you have three options: renegotiate the price, require corrections before the sale, or withdraw if the condition allows it. A detected problem is not the end: it is a negotiating lever, or a signal to be cautious.

EMILIE'S TIP

Go along with your inspector during the visit rather than waiting for the report. What you learn in two hours about YOUR future home, where the water shut-off is, how to maintain the roof, is worth as much as the final document.

CHAPTER

The promise to purchase and negotiation

Make a strong offer and negotiate without losing the property or your shirt.

The promise to purchase (often called the "offer") is a binding document as soon as it is accepted. It sets out the price, the inclusions and exclusions (appliances, light fixtures), the possession date and, above all, the conditions.

The conditions that protect you

- Satisfactory inspection.
- Financing (final approval of the loan).
- Review of documents (certificate of location, seller's declaration, co-ownership documents).
- Sometimes: sale of your current property.

Each condition is a legitimate exit if something is off. To set your price, your broker prepares a comparative market analysis (recent sales of similar properties): you offer based on data, not emotion. In a tight market, keep a firm limit decided in advance, there will always be other properties. Never let an emotional bidding war exceed your plan.

EMILIE'S TIP

A winning offer is not always the highest: it is often the cleanest, reasonable conditions, dates that suit the seller, solid financing. Well presented, it reassures the seller as much as the amount does.

CHAPTER

Signing at the notary (and closing costs)

Understand the home stretch and avoid cost surprises.

In Québec, the deed of sale of a property is signed before a notary. The notary verifies the titles (that the seller is indeed the owner, with no hidden charges), prepares the deed of sale and the mortgage deed, receives and redistributes the funds, and publishes the sale in the Land Register. The certificate of location, prepared by a land surveyor, describes the property and flags any irregularities.

The closing costs to budget for

- Welcome Tax (transfer duties).
- Notary fees.
- Adjustments (taxes already paid by the seller, heating oil, condo).
- Inspection, possible certificate of location, initial home insurance.

The Welcome Tax

A municipal tax payable a few weeks or months after the purchase, calculated on the higher of the price paid or the adjusted municipal assessment, in brackets (2026 edition, provincial thresholds indexed annually, to be checked): about 0.5% on the first bracket (up to ~\$58,900), 1.0% up to ~\$294,600, then 1.5% above that. Montréal adds higher brackets for high-value properties. Indicative example at \$450,000 outside Montréal: about \$4,800. Always ask for an estimate BEFORE buying.

EMILIE'S TIP

Set the Welcome Tax aside as soon as you buy, in a separate account. It often arrives just when you have spent everything on moving in, planning for it spares you the one "bad memory" of an otherwise successful purchase.

CHAPTER

Moving in and getting off to a good start

Succeed in the transition and protect your new asset.

The first-30-days checklist

- Hydro-Québec, internet and insurance transfers active as of possession.
- Change of address (SAAQ, RAMQ, employer, institutions, Canada Post).
- Change the locks.
- Locate the main water shut-off, the electrical panel and the valves.

Building your maintenance reserve

Apply the 1%/year logic: automate a small monthly transfer to a "home" account. The first furnace or roof will not catch you off guard. You are now a homeowner, and real estate is a long-term asset: preventive maintenance, value-adding improvements and keeping an eye on the market will grow your wealth.

EMILIE'S TIP

Stay in touch with your broker even after the purchase. A good relationship means free answers for years (value, worthwhile renovations, when to sell), and when the day comes, someone who already knows your property.

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Calculate my real budget and check my credit score.
2. Gather my financial documents.

Within 30 days

1. Meet with a mortgage broker and get a pre-approval.
2. Optimize the HBP and FHSA with an advisor.
3. Define my criteria and my two areas.

Then

1. Book a free consultation with Emilie to launch the search with a clear plan and a local eye.

REFERENCES

Resources & glossary

- GDS / TDS: debt ratios used by lenders.
- HBP: RRSP withdrawal with no immediate tax for the purchase, repayable over 15 years.
- FHSA: account dedicated to a first purchase, deductible contributions and tax-free withdrawal.
- CMHC: the corporation that (along with Sagen and Canada Guaranty) insures low-down-payment loans.
- Welcome Tax: municipal transfer duties, payable after the purchase.
- Certificate of location: the land surveyor's document describing the property.
- OACIQ: the body that oversees real-estate brokerage in Québec and protects the public.

GOING FURTHER

Quiz — test your knowledge

1. The minimum down payment for a \$450,000 property is generally:

- A) 20%
- B) 10%
- C) 5%
- D) 0%

2. What is the purpose of mortgage loan insurance (CMHC/Sagen/Canada Guaranty)?

- A) To insure the house against fire
- B) To allow a purchase with a down payment of less than 20%
- C) To pay the Welcome Tax
- D) To replace the inspection

3. The FHSA stands out because:

- A) Contributions are deductible AND the withdrawal for a first purchase is tax-free
- B) It has no ceiling
- C) It replaces the pre-approval
- D) It is reserved for investors

4. A mortgage pre-approval:

- A) Is just an estimate with no verification
- B) Confirms an amount and guarantees a rate for a period
- C) Requires you to buy within the week
- D) Is issued by the notary

5. The stress test is used to:

- A) Test the foundation
- B) Qualify the borrower at a rate higher than the actual rate
- C) Verify the titles
- D) Calculate the Welcome Tax

6. When choosing a property, the element you CANNOT renovate is:

- A) The kitchen
- B) The roof
- C) The location / the neighbourhood
- D) The windows

7. The pre-purchase inspection should ideally be:

- A) Optional and done after signing
- B) A condition of the promise to purchase, by a professional
- C) Carried out by the seller
- D) Replaced by the listing photos

8. Which of these is a classic condition of a promise to purchase?

- A) The colour of the walls
- B) Obtaining financing
- C) The seller moving out in 3 days
- D) Choosing the seller's notary

9. In Québec, the deed of sale of a property is signed before:

- A) A mortgage broker
- B) An inspector
- C) A notary
- D) A surveyor

10. The Welcome Tax (transfer duties):

- A) Is paid every month with the mortgage
- B) Is calculated in brackets on the higher of the price or the assessment, payable after the purchase
- C) Is included in the notary's fees
- D) Exists only in Montréal

Answer key

- 1. **C** — 5% up to \$500,000 (chap. 2).
- 2. **B** — It makes the purchase possible with less than 20% down (chap. 2).
- 3. **A** — Deduction going in and a tax-free withdrawal: the best of both worlds (chap. 2).
- 4. **B** — Confirmed amount and guaranteed rate, often 90 to 120 days (chap. 3).
- 5. **B** — You are qualified at a higher "qualifying" rate, as a precaution (chap. 3).
- 6. **C** — The location can never be renovated: it is the number-one criterion (chap. 4).
- 7. **B** — A condition of the promise, by a recognized professional (chap. 5).

- 8. **B** — Financing is a classic protective condition (chap. 6).
- 9. **C** — The notary verifies the titles and publishes the sale (chap. 7).
- 10. **B** — In brackets, on the higher value, payable after the purchase (chap. 7).

Signé PAR Em

*Thank you for reading. May this guide help you
decide with confidence, with all the information
in hand.*

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